Utility and Wastewater Diligence Checklist

Property: _____ **Date:** _____

Part E: Prove the ground.

Takes in: the utility documents from AS-06

Hands to: AS-14 (flags), AS-07 (holdbacks), AS-17 (lead times)

Utilities decide this deal before the price does. They carry the longest lead times in diligence, so this tool starts the clock. A park is a small utility company that also rents dirt: the water and sewer system is the license to operate.

1. What the seller said vs what I found

The seller said (quote them)	What I found (document, date)

2. The Utility Exposure Register

System (type)	Permit status	Permitted vs actual	Age / condition	Status	Low / Base / High ($)	Decision
Water (well)						
Wastewater (septic)						
Electric						
Gas / propane						
Stormwater / roads						

Status: V = Verified, B = Broker-reported, M = Missing, A = Assumed, C = Calculated, U = Unresolved.

Decision: price, escrow-holdback, cure-before-close, or walk.

Front continues on page 2: the Specialist Brief, the regulator call script, the State Variance page, the price book, and the expense truth checks.

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3. The one-page Specialist Brief

Hand this page to the engineer. It is the whole scope.

Scope: systems covered (water, wastewater, electric as found): _____

- Permitted vs actual flow: what is it permitted for, and what does it carry today?
- Camera inspection of the lines: what does the camera see?
- Remaining life: how many years before major work?
- Cost to bring to code?
- Cost to expand to full occupancy?

The deliverable

- ☐ Permitted vs actual flow, in writing.
- ☐ Camera inspection report.
- ☐ Remaining-life estimate.
- ☐ Cost to bring to code.
- ☐ Cost to expand.

Each with a photo and a date. No photo, no finding.

4. The regulator call script

- Which agency permits this system, and what is on file for this address?
- Permitted capacity, and any past violations or amendments to the permit?
- Are there open violations, consent orders, or required upgrades?
- What happens to the permit when ownership changes?
- Is there a moratorium on new connections or expansions?
- What testing or reporting does the owner owe? Is it current?

Agency and name: _____ **Date:** _____ **Permit number:** _____

5. State Variance page

Submetering, bill-back, and rent rules affecting utilities: _____

Well permit type, moratoria, and connection rules: _____

Ownership-change notices and permit transfer deadlines: _____

Submetering and bill-back rules vary by state. Confirm with your attorney before you install or bill.

6. Your local price book

Printed ranges create false precision. Build your own book from local bids.

Item	Local vendor	Quoted price ($)	Date

7. Expense truth and forward capex

- ☐ 12 months of utility bills in the seller's name, tied to the months you underwrite.
- ☐ Who pays what, proven on paper: park pays water and sewer, tenants pay electric, or whatever your park actually does.
- ☐ Forward capex: the next 5 years of system work, priced by the specialist, on the register above. Engineer scopes, water testing, and permit records take weeks: date every item on the EMD Tracker (AS-17).

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Worked example: Maple Bend Estates (fictional)

Fictional park. Seeds: well water, clustered septic, park pays water and sewer, tenants pay their own electric, 41 occupied of 48 lots. Exposure numbers below are the fictional buyer's own bids and specialist quotes, shown to demonstrate the arithmetic. Build your own price book.

System	Permit / capacity / age	Status	Low / Base / High ($)	Decision
Water: well	Permit: broker-reported. Capacity: unknown vs 41 occupied. Age: unknown.	B / M	$8,000 / $35,000 / $120,000	Escrow-holdback $40,000
Wastewater: clustered septic	Permit: missing. Capacity: unknown vs 41 occupied. Age: unknown.	M	$15,000 / $75,000 / $250,000	Cure-before-close: camera plus engineer scope
Electric: park-owned service	Tenants pay their own electric. Park infrastructure age unknown.	B	$5,000 / $30,000 / $90,000	Price
Stormwater / roads	Gravel roads, drainage unknown.	B	$3,000 / $20,000 / $60,000	Price

Register totals: Low 8,000 + 15,000 + 5,000 + 3,000 = $31,000. Base 35,000 + 75,000 + 30,000 + 20,000 = $160,000. High 120,000 + 250,000 + 90,000 + 60,000 = $520,000. The base case, $160,000, is the number that rides to the Red-Flag Triage Board (AS-14) and the offer (AS-07).

The seller said: quote, work fine, never had a problem, unquote. Found: no permits in hand, no inspection on record, regulator call pending. It works today is not a permit.

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The Doctrine

The belief this tool shatters is that infrastructure is a cost, and it works today means fine. Infrastructure is the moat and the toll booth. Clean, permitted, adequately sized systems are scarce and worth a premium. Broken ones are options on remediation, and the option is priced in six figures. A park is a small utility company that also rents dirt. The one rule: the system is the permit. Price the water like you price the lots. The rite of passage is the first phone call to the state regulator, and the first lift-station walk with an engineer, where you can say permitted capacity versus actual load out loud.

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